US WEEKLY KICKSTART

Q3 2026 earnings season preview

- **The Q3 2026 earnings season will kick off during the week of October 12.** By the end of October, roughly 70% of S&P 500 market cap will have reported. Most of the hyperscalers are scheduled to report during the last week of October.
- **Consensus expects S&P 500 year/year EPS growth of 27% in Q3.** This compares with realized growth of 33% in Q2, excluding some accounting distortions. Analyst estimates show the beneficiaries of AI infrastructure spending accounting for over 50% of S&P 500 EPS growth this quarter alongside hyperscaler capex growth of 116%.
- **We expect most companies will once again surpass consensus earnings estimates this quarter.** For the median S&P 500 stock, consensus estimates show year/year EPS growth slowing from 14% in Q2 to 9% in Q3. Input cost pressures will likely limit the magnitude of sequential margin expansion in Q3, and the dollar should provide a modestly smaller tailwind to S&P 500 revenue growth this quarter than last quarter. However, recent economic growth data have been strong and S&P 500 earnings revision breadth has remained positive.
- **AI monetization and productivity will remain key themes during the Q3 earnings season.** Last quarter, hyperscaler cloud revenue growth accelerated to 48% alongside surging revenue backlogs, boosting investor confidence in the likely return on AI investments. Our equity analysts anticipate a further acceleration to 55% in Q3. Productivity gains from AI adoption remained in early stages based on company commentary last quarter, but we expect both commentary and income statements will increasingly reflect AI productivity gains in coming quarters.
- **The earnings distortion from private equity stakes should fade in Q3 while tariff refunds continue to provide a modest boost to earnings.** The mega-cap tech companies' largest equity investments do not appear to have appreciated in Q3 as much as they did earlier this year. However, tariff refunds totaled $77 billion in Q2 and $69 billion in Q3, equating to roughly 6% of total US corporate pre-tax profits each quarter.

Ben Snider
+1(212)357-1744 | ben.snider@gs.com
Goldman Sachs & Co. LLC

Ryan Hammond
+1(212)902-5625 | ryan.hammond@gs.com
Goldman Sachs & Co. LLC

Daniel Chavez
+1(212)357-7657 | daniel.chavez@gs.com
Goldman Sachs & Co. LLC

Kartik Jayachandran
+1(212)855-7744 | kartik.jayachandran@gs.com
Goldman Sachs & Co. LLC

Christophe Sung
+1(212)902-3841 | christophe.sung@gs.com
Goldman Sachs & Co. LLC

Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html.

Q3 2026 earnings season preview

The Q3 2026 earnings season will kick off in less than two weeks. 7% of S&P 500 market cap will report the week of October 12. By the end of October, roughly 70% of S&P 500 market cap will have reported results. Most of the mega-cap hyperscalers are scheduled to report during the last week of October. Nvidia, the largest stock in the index, is expected to report the third week of November.

Exhibit 1: Roughly 70% of S&P 500 market cap will report earnings by the end of October

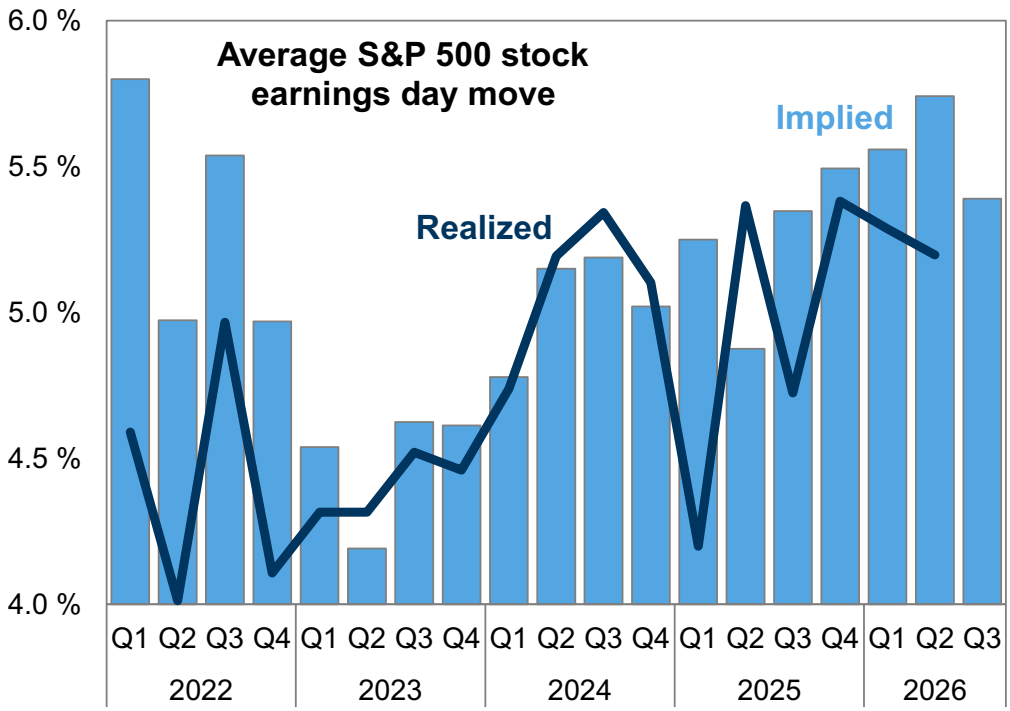
Percent of S&P 500 market cap reporting by week

	Oct 12 - Oct 16	Oct 19 - Oct 23	Oct 26 - Oct 30	Nov 2 - Nov 6	Nov 9 - Nov 13	Nov 16 - Nov 20
S&P 500	7%	14%	44%	13%	2%	11%
Communication Services	0%	8%	85%	4%	3%	0%
Consumer Discretionary	0	21	55	9	0	11
Consumer Staples	0	22	27	6	0	19
Energy	0	43	28	27	2	0
Financials	43	12	26	18	1	0
Health Care	16	14	47	20	0	3
Industrials	2	34	40	15	2	1
Information Technology	0	6	40	9	3	23
Materials	0	26	48	26	0	0
Real Estate	11	13	58	18	0	0
Utilities	0	4	43	53	0	0

Source: FactSet, Goldman Sachs Global Investment Research

Option prices imply that the average S&P 500 stock will move by 5.4% on the day after reporting results this quarter. This compares with an average implied move of 5.5% during the past 4 quarters and an average realized move of 5.1%.

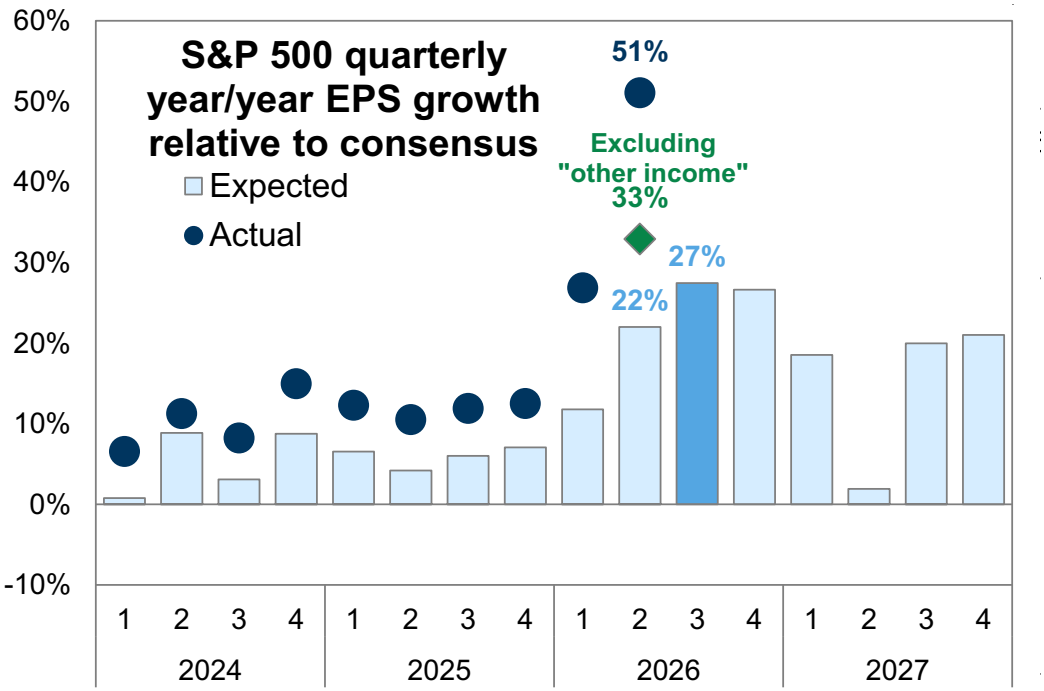
Exhibit 2: Options-implied and realized earnings day moves for the average S&P 500 stock



Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Consensus expects S&P 500 EPS growth of 27% year/year in Q3. The consensus estimate for Q3 growth is the highest heading into any reporting season since 2021. However, consensus estimates imply a deceleration in Q3 from the 33% growth rate realized in Q2, even excluding the "other income" generated from appreciating equity investment stakes last quarter. Neither recent macroeconomic data nor signals relating to the AI investment boom point to a slowdown in Q3, setting the stage for another quarter of above-consensus results.

Exhibit 3: Bottom-up consensus estimates show S&P 500 EPS growth of 27% year/year in Q3 2026



Source: FactSet, Goldman Sachs Global Investment Research

Analyst estimates show wide dispersion at the sector level, with Info Tech and Energy powering aggregate S&P 500 earnings growth. The two sectors combined are expected to contribute nearly 80% to this quarter's earnings growth, and the median stock in each of those sectors is expected to grow EPS by more than 30% year/year. In contrast, bottom-up estimates are particularly pessimistic in the consumer sectors, where estimates show no EPS growth at the aggregate sector level.

Exhibit 4: Bottom-up consensus estimates for the S&P 500 Q3 2026 earnings season

	Q3 2026 bottom-up consensus (y/y)				
	EPS	Sales	Margin		Median stock
Sector	growth	growth	Level	Change	EPS growth
Energy	**109 %**	17 %	15 %	640 bp	45 %
Info Tech	**64**	42	32	427	31
Comm Services	**38**	15	19	322	20
Materials	**36**	13	12	199	7
Industrials	**16**	12	11	39	11
Real Estate	**15**	NM	NM	NM	2
Utilities	**6**	NM	NM	NM	6
Health Care	**5**	2	8	20	7
Financials	**1**	NM	NM	NM	8
Consumer Discretionary	**0**	2	10	(18)	4
Consumer Staples	**(0)**	5	7	(34)	4
S&P 500	**27 %**				9 %
ex. Financials and Utilities	**36**	12 %	15 %	252 bp	10

Source: FactSet, Goldman Sachs Global Investment Research

At the stock level, AI infrastructure stocks are expected to drive more than half of S&P 500 EPS growth in Q3. The top 10 contributing stocks are expected to account for over two-thirds of aggregate S&P 500 earnings growth this quarter, with Micron (MU) and Nvidia (NVDA) together accounting for more than 1/3 of index growth. Micron's results this week were a strong start to the quarter, with the company reporting year/year earnings growth of 1,003%, beating consensus EPS estimates and providing strong forward guidance.

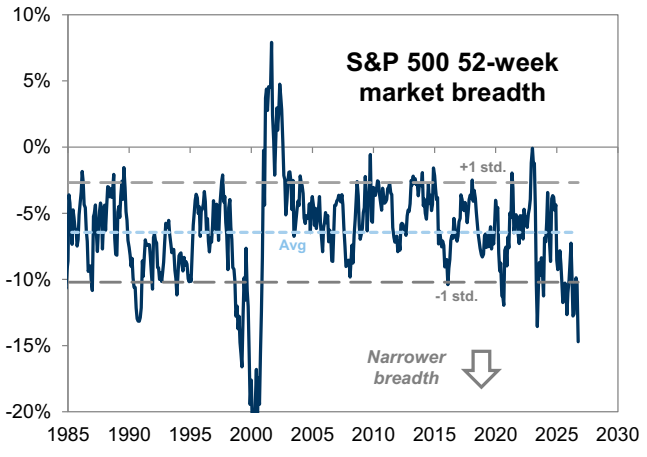
Exhibit 5: Top 10 contributors to S&P 500 Q3 earnings growth
* indicates company has reported Q3 results

			Contribution to consensus y/y SPX EPS growth (excludes "other income")					
			2026					
Name	Ticker	Expected report date	Q1	Q2	Q3	Q4	2026	2027
Micron Technology, Inc.*	MU	September 30	10 %	14 %	19 %	22 %	17 %	14 %
NVIDIA Corp.	NVDA	November 19	21	15	15	15	16	25
Meta Platforms Inc	META	October 29	8	(1)	7	(0)	3	1
Alphabet Inc.	GOOGL	October 27	5	3	6	5	4	6
Broadcom Inc.	AVGO	December 11	3	4	5	6	5	6
Exxonmobil Holdings Corp.	XOM	October 30	(2)	4	4	4	3	0
Amazon.com, Inc.	AMZN	October 30	3	2	4	3	3	4
Boeing Company	BA	October 27	0	0	3	(5)	(0)	1
Chevron Corp.	CVX	October 30	(1)	5	3	3	3	(1)
Marathon Petroleum Corp.	MPC	November 3	0	2	3	2	2	(1)
Top 10 contributors			**47 %**	**48 %**	**68 %**	**54 %**	**55 %**	**55 %**
AI infrastructure ex. hyperscalers			**52**	**48**	**54**	**58**	**53**	**58**
Hyperscalers			**20**	**7**	**19**	**10**	**14**	**14**

Source: FactSet, Goldman Sachs Global Investment Research

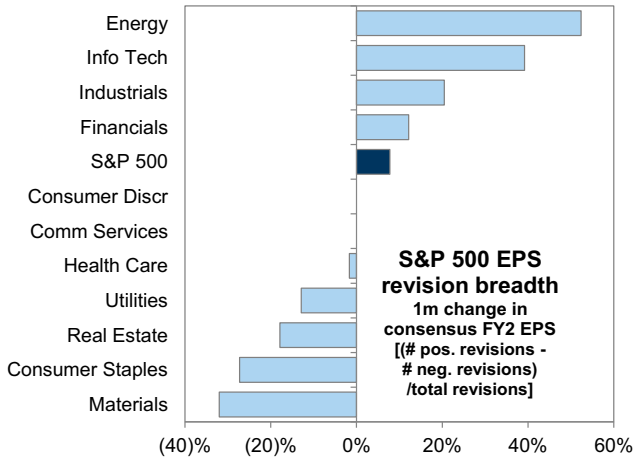
Mirroring the concentration of earnings growth, the composition of recent returns has also been narrow. While the market is only 2% from its all-time high, the median stock is 17% below its all-time high, pushing S&P 500 market breadth to its lowest level since the Dot Com Bubble. Both earnings and returns for the index are primarily being supported by the Info Tech sector.

Exhibit 6: Market breadth has recently plunged
market breadth calculated as the difference between the aggregate index and median stock respective distances from 52-week highs



Source: Goldman Sachs Global Investment Research

Exhibit 7: Earnings revision breadth has recently been strongest in the Energy and Info Tech sectors



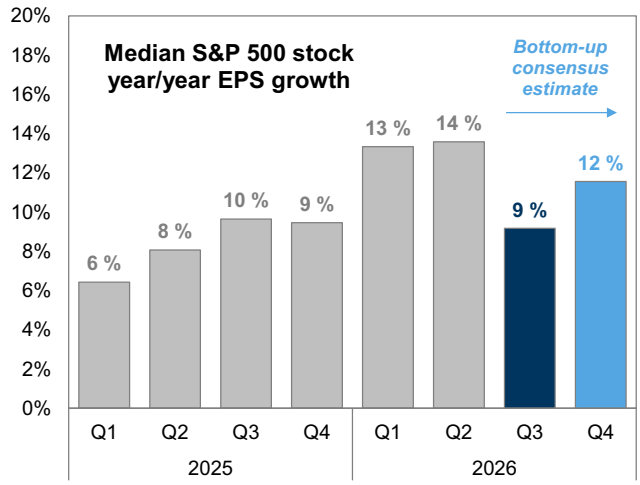
Source: FactSet, Goldman Sachs Global Investment Research

For the median S&P 500 stock, consensus expects EPS grew by 9% year/year in Q3 compared with 14% in Q2. Analyst estimates indicate a sequential deceleration in

year/year EPS growth in every sector except for Info Tech and Comm Services.

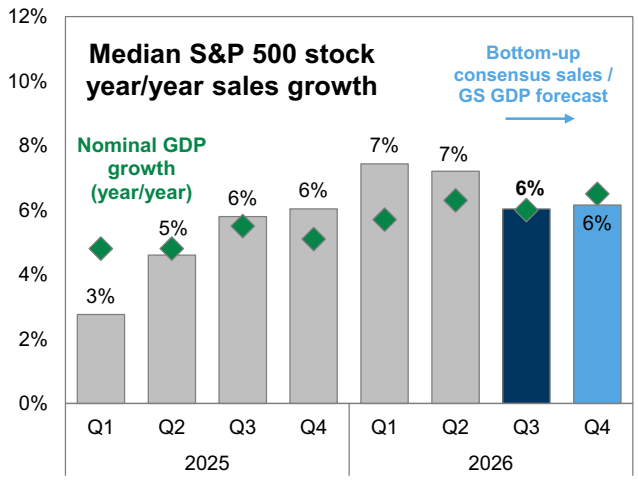
Strong nominal GDP growth should support strong nominal sales growth in Q3 reports. Consensus estimates show sales growth for the median S&P 500 stock decelerating from 7% in Q2 to 6% in Q3. Our economists estimate that nominal GDP grew by 6% year/year in Q3, similar to the pace of growth in Q2. However, we estimate the weaker US dollar boosted S&P 500 revenue growth by roughly 2 pp in Q1 and 1 pp in Q2, and that tailwind likely amounted to less than 1 pp in Q3.

Exhibit 8: Consensus expects the median S&P 500 stock to report 9% EPS growth in Q3 2026



Source: FactSet, Goldman Sachs Global Investment Research

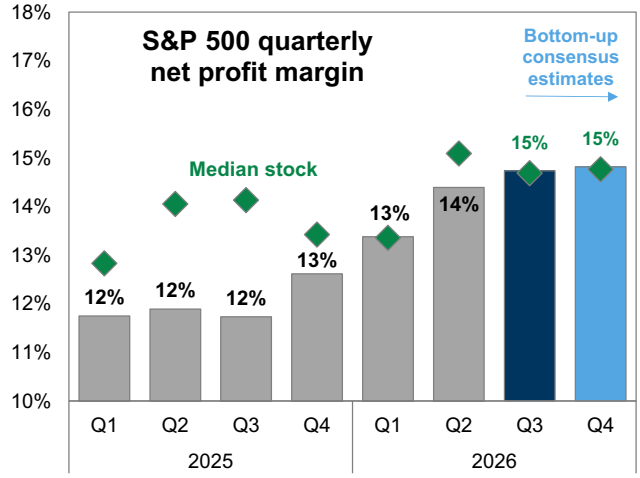
Exhibit 9: Consensus estimates show decelerating revenue growth for the median S&P 500 company
ex. Financials & Utilities



Source: FactSet, Goldman Sachs Global Investment Research

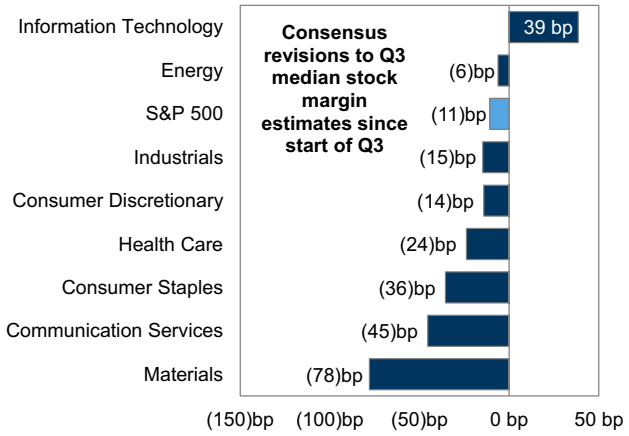
We expect most S&P 500 companies will report continued profit margin strength in Q3, but input cost pressures likely limited substantial sequential margin expansion. Consensus estimates show the median S&P 500 stock generating a net profit margin of 14.7% in Q3, compared with 15.1% during Q2. Despite contained wage growth, companies continue to face input cost pressures. Analysts have cut estimates for the median S&P 500 stock's Q3 profit margin by 11 bp since the start of the quarter, with estimates trimmed in every sector except Info Tech.

Exhibit 10: S&P 500 quarterly net profit margin
excludes Financials and Utilities; aggregate excludes "other income"



Source: FactSet, Goldman Sachs Global Investment Research

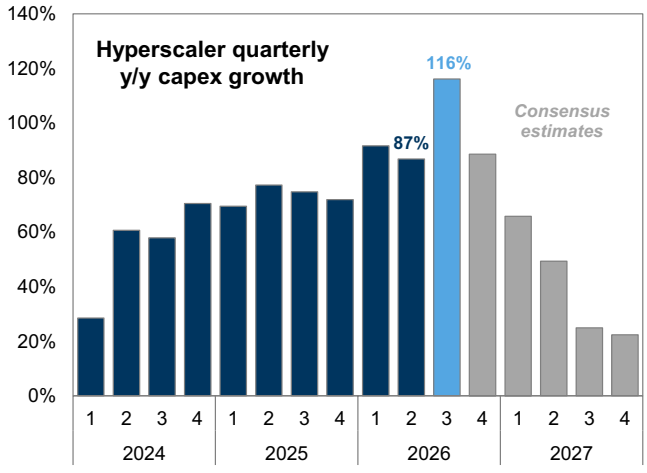
Exhibit 11: Consensus Q3 margin estimates have recently been revised lower in every sector but Info Tech



Source: FactSet, Goldman Sachs Global Investment Research

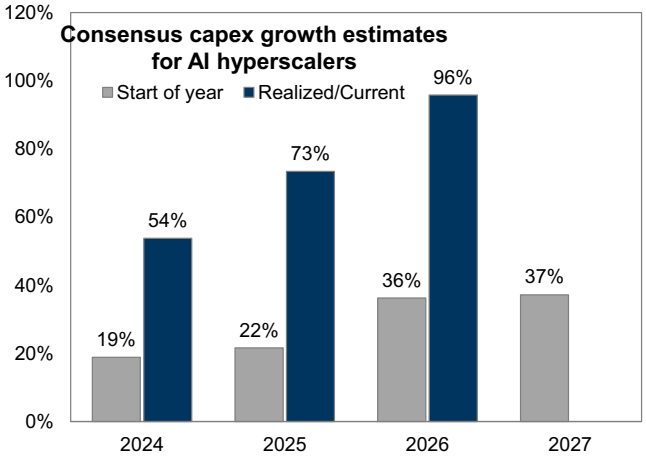
Surging hyperscaler capex will once again support EPS growth for the aggregate S&P 500 index this quarter. Consensus estimates show hyperscaler capex growing by 116% year/year in Q3 2026. This compares with 87% growth in Q2. We expect that hyperscaler capex spending will grow by more than 50% in 2027, surpassing current consensus estimates for spending of roughly $1.1 trillion next year, but also expect that the rate of both capex growth and upside surprises will diminish relative to recent quarters. Our recent conversations with investors about the outlook for AI capex have focused primarily on the uncertainty surrounding 2028 spending, but we do not expect companies will provide much clarity on capex beyond 2027 during this earnings season.

Exhibit 12: Consensus estimates show hyperscaler capex growth exceeding 100% year/year in Q3



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 13: Consensus capex estimates have consistently been too conservative in recent years



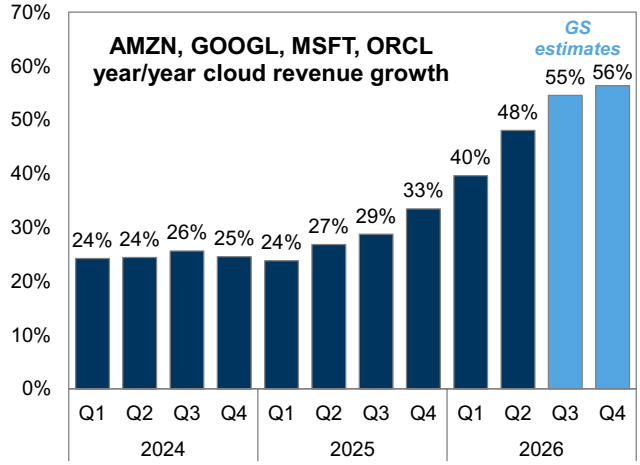
Source: FactSet, Goldman Sachs Global Investment Research

In addition to the outlook for AI capex, evidence of return on AI investments will again be a key focus this earnings season. Last quarter, the hyperscalers reported accelerating cloud revenue growth and large revenue backlogs that signaled the monetization of their capex investments. Explicit management commentary discussing

those returns complemented the strong results. Our equity analysts expect the trend of accelerating cloud revenue growth will continue this quarter, with year/year growth increasing from 48% in Q2 to 55% in Q3. Continued signs of AI capex monetization will be important both for the performance of the hyperscalers and for the outlook for capex growth.

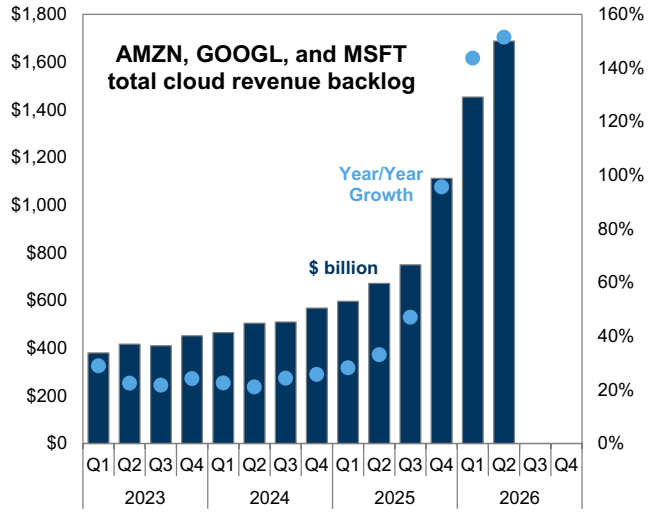
Across the market, investors will continue to scrutinize both reported results and management commentary this quarter to gauge the progress of AI adoption and productivity. Roughly 50% of S&P 500 firms discussed AI in the context of productivity or efficiency on last quarter's earnings calls, but only 2% of S&P 500 companies quantified the earnings impact of those gains. We expect these shares to gradually increase in coming quarters.

Exhibit 14: Hyperscaler cloud revenue growth has recently accelerated



Source: Goldman Sachs Global Investment Research

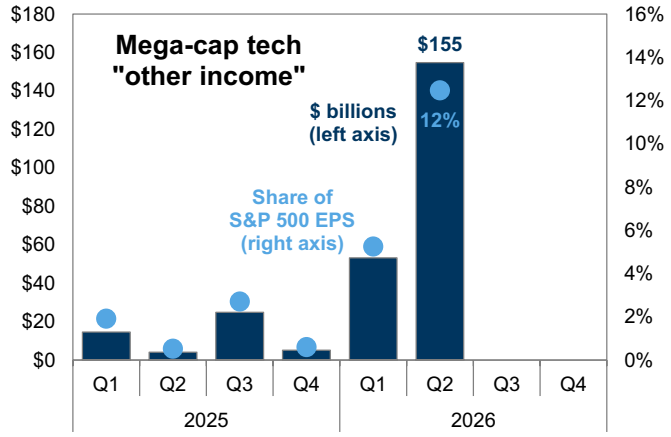
Exhibit 15: The hyperscalers have reported large and growing cloud revenue backlogs



Source: Goldman Sachs Global Investment Research

While gains from private investment stakes have distorted S&P 500 earnings results during the last two quarters, we expect this distortion to fade in Q3 results. The mega-cap tech companies generated roughly $150 billion of accounting profit last quarter from appreciating equity investment stakes, translating into 12% of S&P 500 EPS. We do not expect a meaningful impact from similar "other-income" this quarter because it does not appear that the largest equity investments appreciated in Q3 as much as they did earlier in 2026.

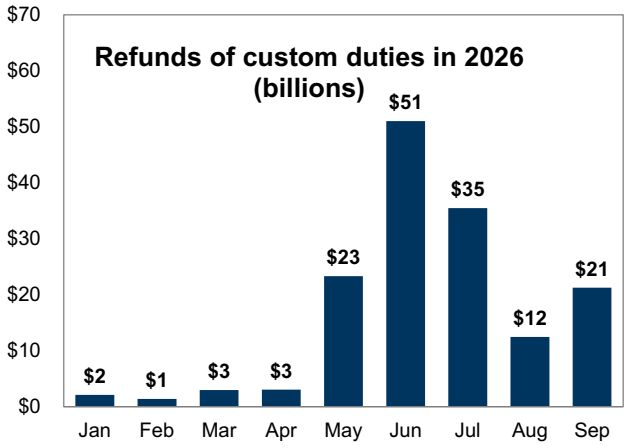
Exhibit 16: "Other income" from appreciating investment stakes has boosted S&P 500 earnings in recent quarters



Source: Goldman Sachs Global Investment Research

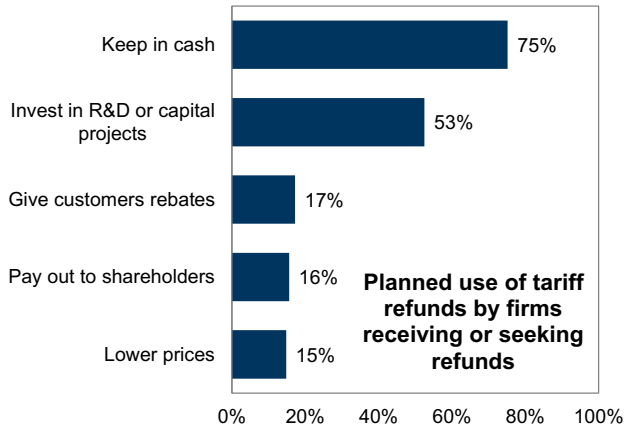
However, tariff refunds should provide another modest boost to earnings this quarter. According to the US Treasury, roughly $69 billion of tariff refunds have been issued in Q3, following $77 billion in Q2. This equates to roughly 6% of total US corporate pre-tax profits in each quarter. A recent Atlanta Fed survey indicated that most firms expect to keep the tariff refunds in cash and use the funds to invest in R&D or capital projects.

Exhibit 17: Companies have received large tariff refunds in recent months



Source: US Treasury, Goldman Sachs Global Investment Research

Exhibit 18: Planned use of tariff refunds
Survey of Business Uncertainty as of August 2026; N = 220

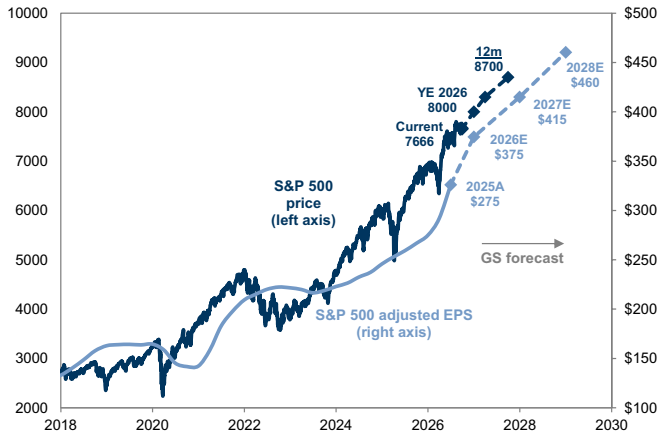


Source: Federal Reserve Bank of Atlanta, Goldman Sachs Global Investment Research

S&P 500 earnings and return forecasts

Pricing as of October 1, 2026, unless otherwise noted.

Exhibit 19: Goldman Sachs top-down S&P 500 forecasts



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 20: Goldman Sachs and consensus forecasts for S&P 500 earnings and returns

	Goldman Sachs forecast	Bottom-up analyst consensus	Top-down strategist consensus
S&P 500 EPS			
2025	**$275**	$275	$275
Y/Y growth	***12 %***	*12 %*	*12 %*
2026	**$375**	$365	$355
Y/Y growth	***36 %***	*33 %*	*29 %*
2027	**$415**	$421	$410
Y/Y growth	***11 %***	*15 %*	*15 %*
S&P 500 P/E			
Current on NTM EPS	**19x**	19x	19x
S&P 500 price target			
YE 2026	**8000**	NA	8000
Return to target	***4 %***		*4 %*
12-month	**8700**	9100	NA
Return to target	***13 %***	*19 %*	

Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Biggest stock movers this week

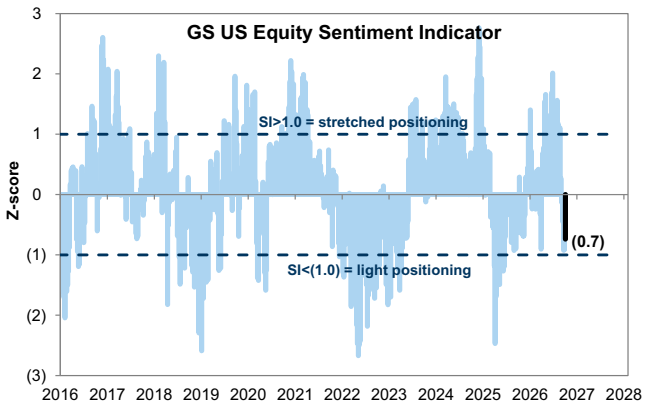
Exhibit 21: S&P 500 stocks with the largest moves this week
as of October 2, 2026

Company	Ticker	Industry group	Total return: This week	Total return: 3m	Total return: 6m	Total return: 12m	Market cap (bn)	Consensus 2026 EPS growth	Fwd 12m P/E
Top 10 returns this week									
Carnival Corp. Ltd.	CCL	Consumer Services	**16 %**	(12)%	(5)%	(10)%	$34	19 %	11x
Lumentum Holdings	LITE	Tech Hardware & Equipment	**15**	31	37	510	94	337	50
Synopsys Inc.	SNPS	Software & Services	**15**	8	24	0	94	19	28
Royal Caribbean Group	RCL	Consumer Services	**15**	(11)	(3)	(13)	72	12	15
Coherent Corp.	COHR	Tech Hardware & Equipment	**14**	(13)	29	178	63	109	36
Accenture Plc	ACN	Software & Services	**13**	64	10	(10)	130	4	14
Teradyne Inc.	TER	Semiconductors & Semi Equip	**13**	(3)	33	195	65	128	46
NetApp Inc.	NTAP	Tech Hardware & Equipment	**12**	38	112	85	42	28	23
Applied Materials	AMAT	Semiconductors & Semi Equip	**11**	(19)	50	144	420	55	31
Everpure Inc.	P	Tech Hardware & Equipment	**11**	74	120	57	45	41	43
Bottom 10 returns this week									
Fair Isaac Corp.	FICO	Software & Services	**(23)%**	(45)%	(38)%	(56)%	$14	34 %	13x
AppLovin Corp.	APP	Media & Entertainment	**(14)**	(50)	(27)	(60)	94	60	15
Global Payments	GPN	Financial Services	**(9)**	7	24	(4)	21	25	5
Western Digital	WDC	Tech Hardware & Equipment	**(9)**	(23)	55	255	167	130	20
International Paper	IP	Materials	**(9)**	(14)	(6)	(26)	17	NM	14
QUALCOMM Inc.	QCOM	Semiconductors & Semi Equip	**(8)**	1	44	12	191	(23)	20
Mosaic Co.	MOS	Materials	**(8)**	2	(17)	(34)	7	(81)	24
Fidelity National Info Svc.	FIS	Financial Services	**(8)**	(18)	(25)	(48)	17	7	5
Smurfit Westrock	SW	Materials	**(8)**	(6)	10	5	23	(13)	14
Weyerhaeuser	WY	Equity REITs	**(8)**	(20)	(22)	(23)	13	60	46
Median S&P 500 stock			**(1)%**	(4)%	3 %	5 %	$43	11 %	17x
S&P 500 Index			**(0)**	3	17	16	68,566	33	19

Source: FactSet, Goldman Sachs Global Investment Research

Sentiment and flows

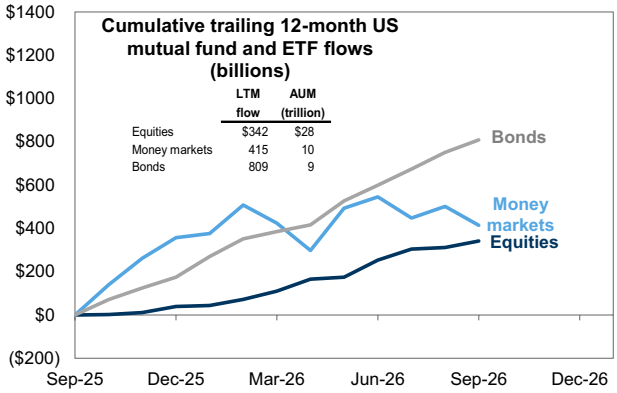
Exhibit 22: GS US Equity Sentiment Indicator of investor positioning
as of October 2, 2026



The Sentiment Indicator combines 9 measures of positioning across institutional, retail, and foreign investors and has historically been a statistically significant signal for near-term S&P 500 returns.

Source: Goldman Sachs Global Investment Research

Exhibit 23: Recent mutual fund and ETF flows



Source: EPFR, Goldman Sachs Global Investment Research

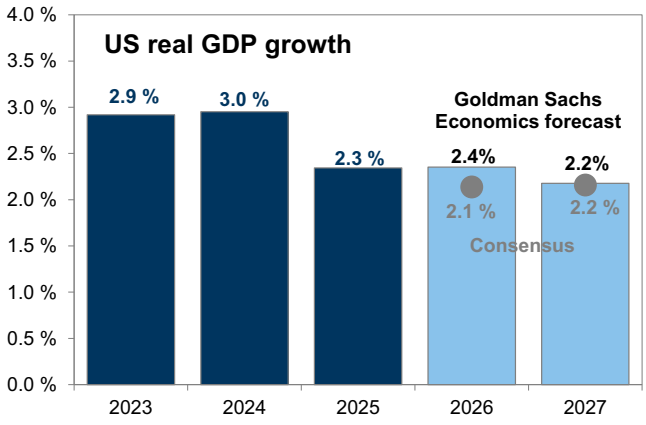
Economic growth

Exhibit 24: US equity market internal pricing of economic growth



Source: Bloomberg, Goldman Sachs Global Investment Research

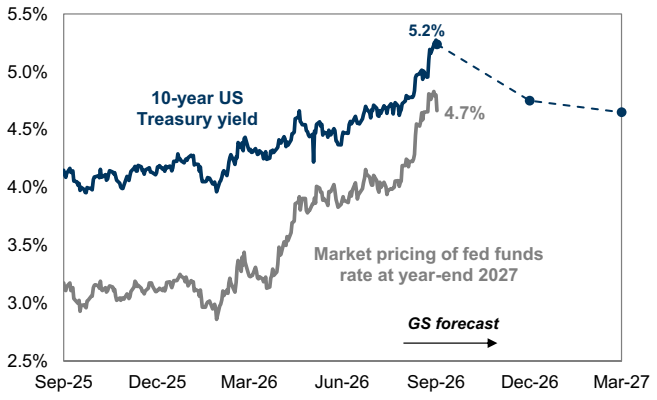
Exhibit 25: Goldman Sachs and consensus forecasts for US real GDP growth



Source: Bloomberg, Goldman Sachs Global Investment Research

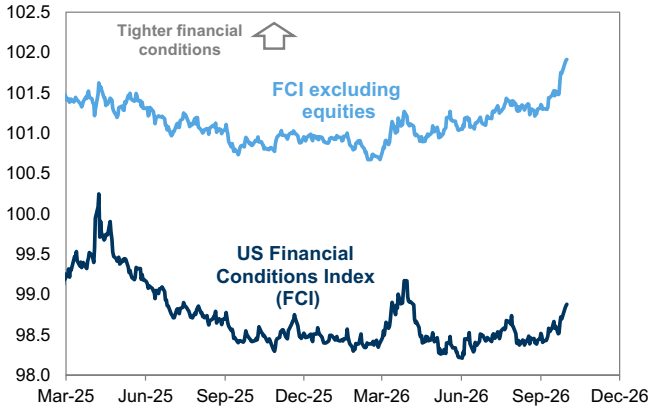
Interest rates and financial conditions

Exhibit 26: Market pricing of near-term and long-term interest rate outlook



Source: Goldman Sachs Global Investment Research

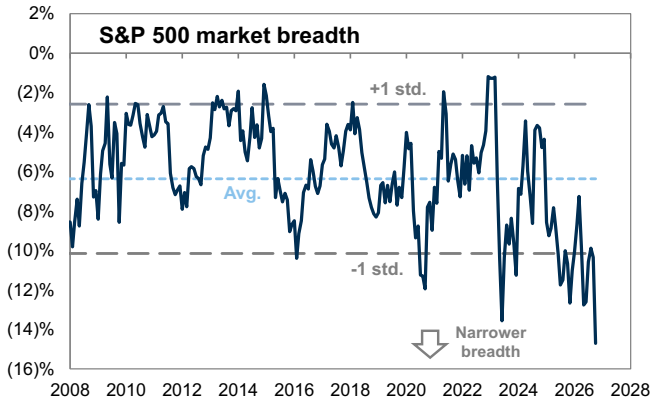
Exhibit 27: Goldman Sachs Financial Conditions Index



Source: Goldman Sachs Global Investment Research

Market breadth and concentration

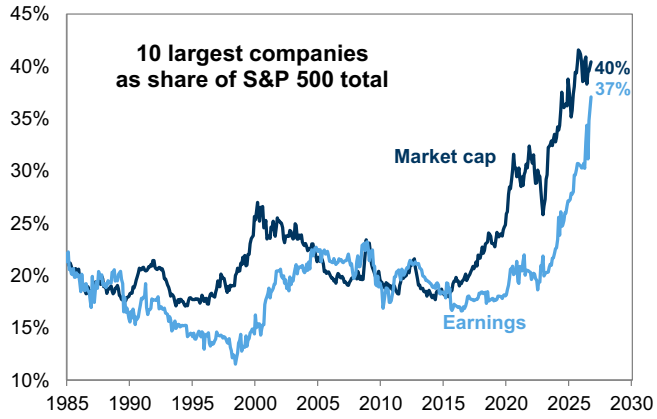
Exhibit 28: S&P 500 52-week market breadth



Market breadth is calculated as the difference between the distance of the aggregate S&P 500 Index from its 52-week high and the distance of the median S&P 500 constituent from its 52-week high. When the aggregate index is much closer to its 52-week high than is the median stock, market breadth is narrow.

Source: Goldman Sachs Global Investment Research

Exhibit 29: Concentration of S&P 500 market cap and earnings in the 10 largest index constituents

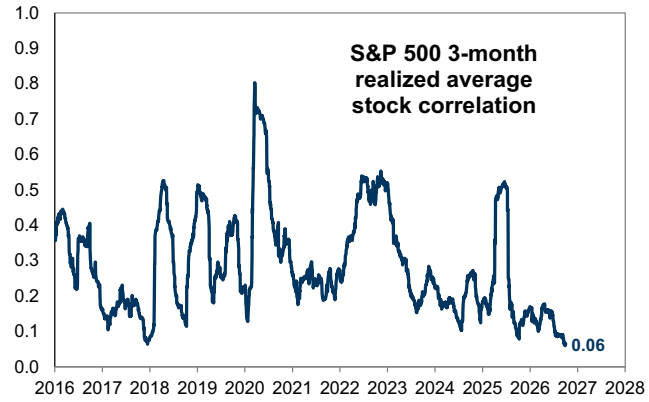


Earnings reflect consensus forward 12-month estimates.

Source: Compustat, IBES, FactSet, Goldman Sachs Global Investment Research

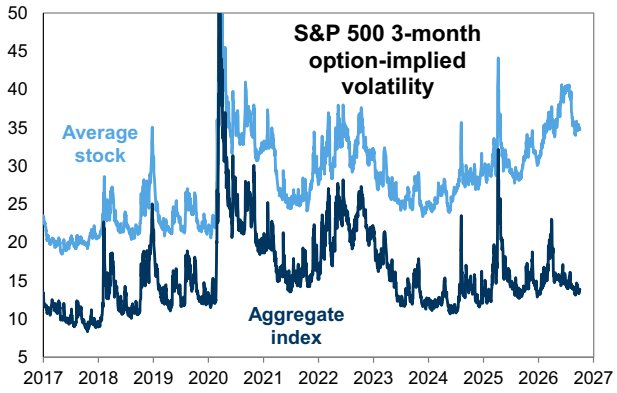
Correlation and volatility

Exhibit 30: S&P 500 realized average stock correlation



Source: Goldman Sachs Global Investment Research

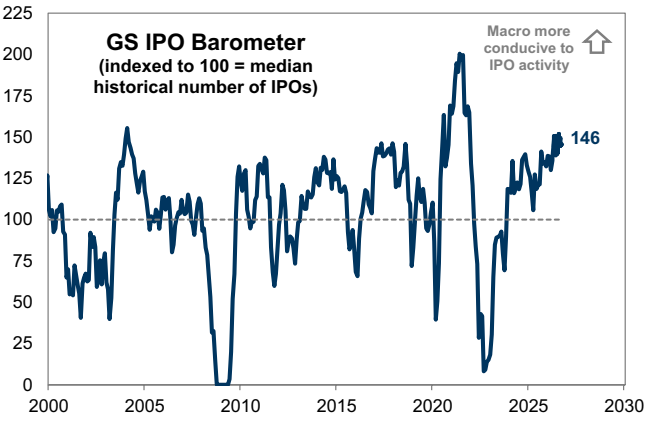
Exhibit 31: S&P 500 implied volatility



Source: Goldman Sachs Global Investment Research

IPO Barometer and mutual fund performance

Exhibit 32: Goldman Sachs IPO Barometer



The Goldman Sachs IPO Barometer combines five indicators that gauge the conduciveness of the macro environment to IPO activity.

Source: Goldman Sachs Global Investment Research

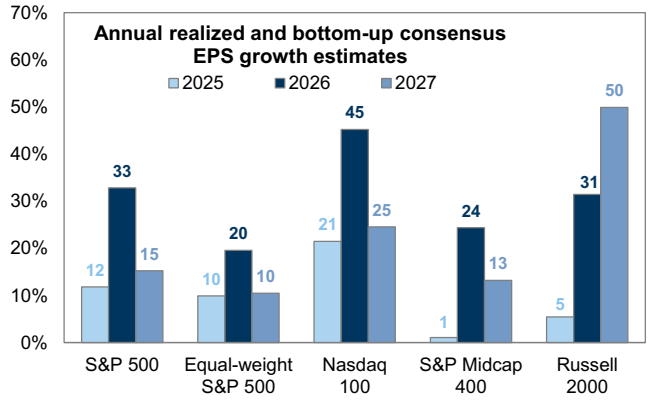
Exhibit 33: US equity mutual fund returns relative to benchmarks

Mutual fund style	Average YTD return	% outperforming benchmarks YTD
Large-cap core	11%	30%
Large-cap growth	9	64
Large-cap value	12	8
Large-cap total	**10%**	**33%**
Small-cap core	14%	39%

Source: FactSet, Goldman Sachs Global Investment Research

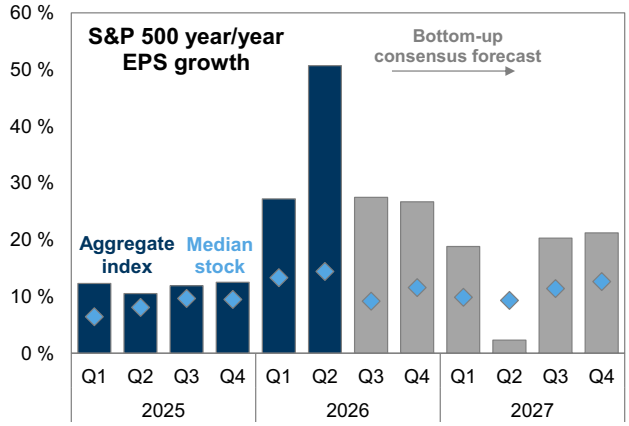
Earnings growth

Exhibit 34: Realized and consensus EPS growth for select US equity indices



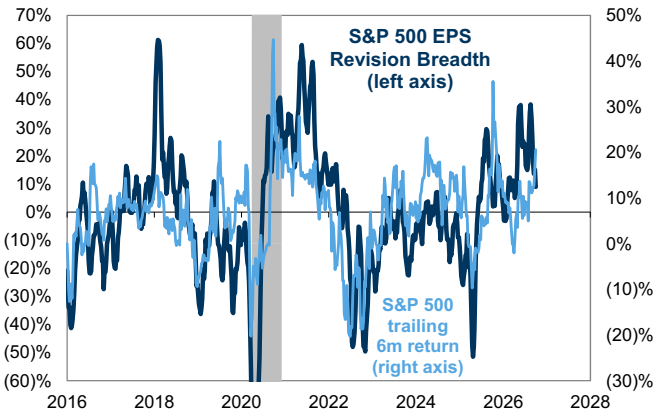
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 35: Realized and consensus year/year S&P 500 EPS growth



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 36: S&P 500 FY2 earnings revision breadth

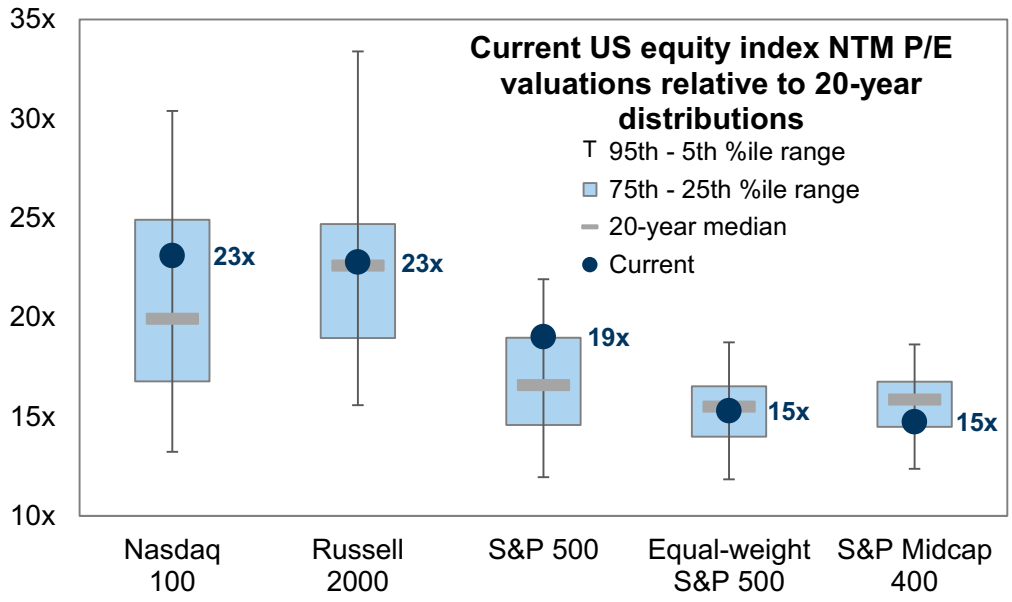


Revision breadth calculated as [(# of companies with positive EPS revisions)-(# of companies with negative revisions)]/(total # of companies). Revisions reflect FY2 EPS estimate changes during a rolling 1-month window.

Source: FactSet, Goldman Sachs Global Investment Research

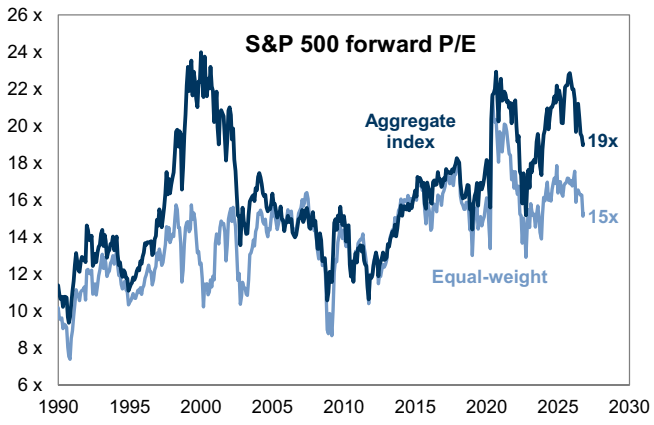
Valuations

Exhibit 37: US equity index P/E valuations vs. history



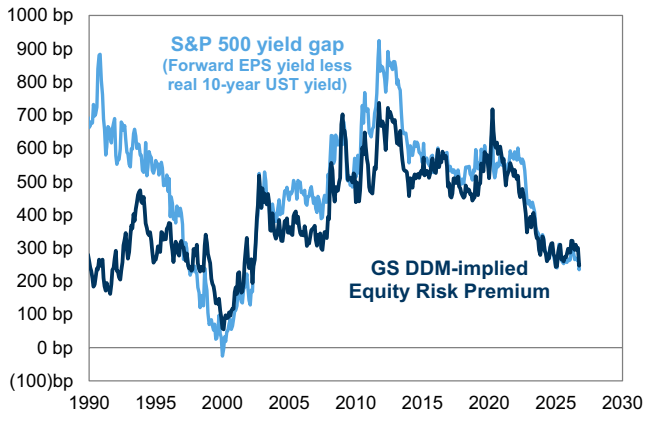
Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 38: S&P 500 consensus forward 12-month P/E



Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 39: S&P 500 valuation relative to US Treasury yields

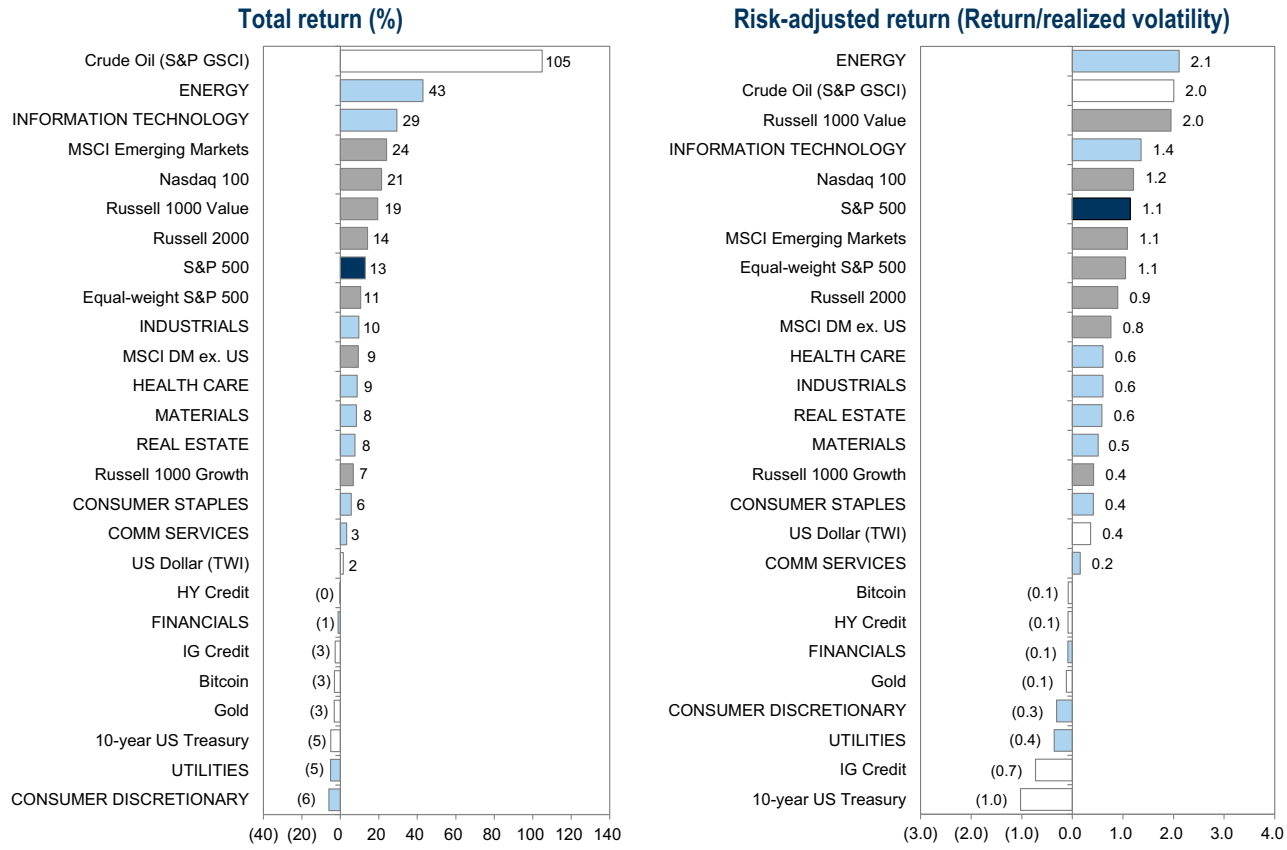


Equity risk premium calculated by solving for the discount rate that equates the fair value of our multi-stage S&P 500 dividend discount model to the current market price and subtracting the 10-year US Treasury yield.

Source: Goldman Sachs Global Investment Research

YTD absolute and risk-adjusted returns

Exhibit 40: YTD asset returns and return/volatility ratios



Crude oil represents S&P GSCI Crude Oil Index.

Source: FactSet, Haver Analytics, Goldman Sachs Global Investment Research

Sector returns, earnings, and valuations

Exhibit 41: Sector and industry group returns

Top quartile
Bottom quartile

		Index weight	1 Week	1 Month	3 Months	Last 12 Mo	YTD	GS allocation
	S&P 500	100 %	(0.5)%	1 %	3 %	16 %	13 %	
SECTOR	Information Technology	40 %	1.4 %	6 %	10 %	30 %	29 %	
	Utilities	2	0.8	(6)	(11)	(7)	(5)	
	Energy	3	0.3	(2)	20	45	43	
	Industrials	8	(0.2)	(2)	(8)	11	10	
	Consumer Discretionary	9	(1.5)	(4)	(6)	(6)	(6)	
	Consumer Staples	4	(1.6)	(4)	(2)	6	6	
	Financials	11	(2.0)	(6)	(2)	2	(1)	
	Health Care	9	(2.2)	(3)	5	18	9	OW
	Materials	2	(2.2)	(6)	(4)	11	8	OW
	Real Estate	2	(2.4)	(6)	(6)	5	8	
	Communication Services	10	(3.1)	4	(0)	12	3	
INDUSTRY GROUP	Software & Services	10 %	2.4 %	2 %	25 %	(4)%	3 %	
	Semiconductors & Semi Equipment	19	1.7	10	5	52	46	
	Consumer Services	1	1.4	(10)	(9)	(8)	(10)	
	Utilities	2	0.8	(6)	(11)	(7)	(5)	
	Energy	3	0.3	(2)	20	45	43	
	Insurance	1	0.1	(6)	(4)	(0)	1	
	Transportation	1	0.1	(5)	(8)	11	8	
	Capital Goods	6	(0.1)	(1)	(9)	16	13	
	Technology Hardware & Equipment	11	(0.2)	4	7	44	37	
	Consumer Staples Retail	2	(0.6)	(3)	(2)	5	2	
	Consumer Discretionary Retail	5	(0.8)	(3)	(1)	3	2	
	Health Care Equipment & Services	3	(0.9)	(6)	(2)	(3)	(6)	
	Consumer Durables & Apparel	0	(1.0)	(3)	(8)	(22)	(14)	
	Commercial & Professional Svcs	1	(1.2)	(9)	2	(17)	(10)	
	Household & Personal Products	1	(1.5)	(4)	(4)	(2)	2	
	Materials	2	(2.2)	(6)	(4)	11	8	
	Banks	3	(2.3)	(7)	(5)	11	2	
	Financial Services	7	(2.3)	(6)	(0)	(2)	(3)	
	Real Estate Investment Trusts (REITs)	2	(2.4)	(6)	(6)	5	8	
	Food Beverage & Tobacco	2	(2.4)	(4)	(1)	11	11	
	Pharma Biotech & Life Sciences	6	(2.8)	(1)	8	32	18	
	Media & Entertainment	9	(3.1)	5	(1)	14	4	
	Telecommunication Services	1	(3.2)	(10)	8	(9)	(1)	
	Automobiles & Components	2	(5.8)	(2)	(15)	(20)	(20)	

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 42: Earnings contributions and growth by S&P 500 sector

	GS top-down					Consensus bottom-up			
	Contribution			EPS growth		Contribution		EPS growth	
Sector	2025	**2026**	2027	**2026**	2027	2026	2027	2026	2027
Info Tech	$70	**$118**	$157	**68 %**	33 %	$114	$160	61 %	41 %
Financials	52	**60**	64	**15**	7	59	63	12	7
Comm Services	29	**48**	39	**64**	(18)	45	40	55	(12)
Health Care	33	**33**	39	**0**	17	33	40	0	21
Cons Discretionary	23	**31**	27	**36**	(10)	30	29	34	(5)
Industrials	21	**25**	29	**17**	16	24	28	14	16
Energy	12	**21**	19	**82**	(9)	21	20	84	(7)
Consumer Staples	15	**15**	16	**4**	4	15	16	4	6
Utilities	8	**9**	9	**11**	7	9	9	13	7
Materials	5	**7**	8	**36**	12	7	8	31	13
Real Estate	6	**7**	7	**7**	6	7	8	15	8
S&P 500	$275	**$375**	$415	**36 %**	11 %	$365	$421	33 %	15 %

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 43: S&P 500 sector P/E valuations relative to history

	Consensus forward 12-month P/E valuation				
		Absolute P/E %ile rank vs. history		P/E vs. S&P 500 %ile rank vs. history	
	Current P/E	10-year	30-year	10-year	30-year
Industrials	**23x**	67%	89%	92%	97%
Consumer Discretionary	**23**	24	74	11	60
Information Technology	**21**	45	56	52	43
Consumer Staples	**21**	64	71	58	37
S&P 500	**19**	**48**	**71**		
Communication Services	**18**	29	28	32	11
Health Care	**18**	77	71	82	41
Materials	**17**	41	66	33	24
Real Estate	**17**	13	38	36	31
Utilities	**16**	42	81	40	55
Financials	**14**	22	58	17	15
Energy	**13**	36	42	46	23

Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Thematic baskets

Exhibit 44: Recent performance of select Goldman Sachs Research baskets
basket returns expressed relative to the equal-weight S&P 500 except for long/short basket pairs as noted

Top quartile
Bottom quartile

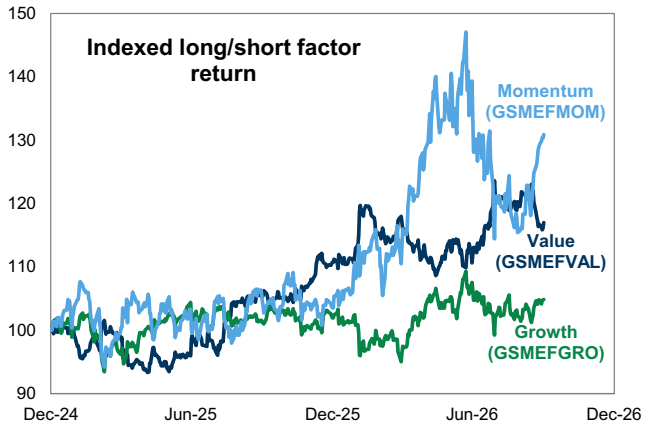
	Basket / Index	Ticker (GSTH____)	Total returns 1 Wk	3 Mo	12 Mo	YTD
	S&P 500	SPX	(0.5)%	3 %	16 %	13 %
	Equal-weight S&P 500	SPW	(0.6)	(2)	12	11
Macro-economic	Dual Beta	BETA	1.9 %	(2)%	58 %	45 %
	Interest Rate Sensitive	USTY	1.2	(0)	26	23
	High vs. Low Tax Rate	HTAX / LTAX	(0.5)	(8)	3	1
	Low vs. High Labor Cost	LLAB / HLAB	(0.7)	(4)	4	3
Geographic sales	Western Europe Sales	WEUR	1.3 %	2 %	2 %	3 %
	International Sales	INTL	0.8	(4)	32	26
	US Sales	AINT	(0.2)	4	(4)	(2)
	EM Sales	BRIC	(0.2)	(4)	55	46
Fundamental	High Quality	QUAL	1.5 %	2 %	(10)%	(7)%
	Strong vs. Weak Balance Sheet	SBAL / WBAL	1.4	(6)	(11)	(11)
	ROE Growth	GROE	1.3	1	35	30
	Stable Growers	STGR	(0.1)	1	(13)	(10)
	High vs. Low Operating Leverage	OPHI / OPLO	(0.6)	8	9	10
	Long vs. Short Duration	LDUR / SDUR	(2.6)	(13)	(21)	(16)
Uses of cash	Total Cash Return	CASH	1.1 %	5 %	9 %	6 %
	Buybacks	REPO	1.1	4	3	2
	Debt Reducers vs. Issuers	DRED / DISS	1.1	(11)	2	(2)
	Capex and R&D	CAPX	0.5	5	39	35
	High Growth Investment	HGIR	0.5	1	23	21
	Dividend Growth	DIVG	0.3	4	7	6
Ownership, risk & liquidity	Low vs. High Liquidity	LLIQ / HLIQ	2.7 %	(12)%	(19)%	(14)%
	Mutual Fund Over- vs. Underweights	MFOW / MFUW	0.0	(4)	(23)	(22)
	Hedge Fund VIP	HVIP	(0.2)	(6)	(0)	0
	High Sharpe Ratio	SHRP	(1.1)	10	(2)	(1)
Equity research	SMB Exposure	GSRHSMBX	0.2 %	3 %	(7)%	(5)%
	Gov't Exposure	GSRHGOVT	(0.7)	(4)	(1)	(4)
	Oil Input Cost	GSRHOILX	(0.7)	(11)	(6)	(6)
	M&A Candidates	GSRHACQN	(0.9)	8	17	6

Basket returns and constituents can be accessed via GS Marquee or Bloomberg using the indicated tickers.

Source: Goldman Sachs Global Investment Research

Factors

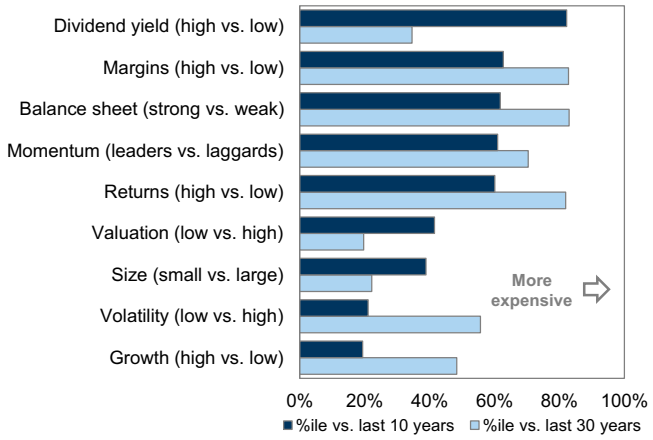
Exhibit 45: Indexed return of select equity factors



Factor performance and constituents can be viewed on GS Marquee or Bloomberg using the tickers indicated on the chart.

Source: Goldman Sachs Global Investment Research

Exhibit 46: Equity factor valuations relative to history



Source: Goldman Sachs Global Investment Research

Goldman Sachs global macro research cross-asset forecasts

Exhibit 47: Goldman Sachs macro research asset forecasts

Goldman Sachs Global Macro Forecasts

	units	Current	3m	6m	12m	Change to 12m target
Equities						
MXAPJ	level	881	960	1040	1120	**27 %**
S&P 500	**level**	**7666**	**8000**	**8300**	**8700**	**13**
TOPIX	level	4132	4400	4500	4600	**11**
STOXX Europe 600	level	627	670	680	695	**11**
10-year rates						
Euro Area (Germany)	%	3.5	3.3	3.3	3.3	**(23)bp**
Japan	%	3.1	3.0	3.0	2.9	**(25)**
US	%	5.2	4.8	4.7	4.5	**(79)**
Corporate bonds						
Investment grade	bp	86	82	80	78	**(8)bp**
High yield	bp	318	295	290	280	**(38)**
Currencies						
Euro / US dollar	EUR/$	1.13	1.14	1.12	1.12	**(1)%**
Sterling / US dollar	£/$	1.32	1.33	1.29	1.28	**(3)**
US dollar / Yen	$/¥	158	158	155	150	**(5)**
Commodities						
COMEX gold	$/troy oz	4202	4650	4810	5140	**22 %**
LME copper	$/mt	14335	13620	13735	13800	**(4)**
NYMEX nat. gas	$/mmBtu	3	3.00	2.85	2.75	**(7)**
Brent crude oil	$/bbl	102	85	83	78	**(24)**

Source: FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Ben Snider, Ryan Hammond, Daniel Chavez, Kartik Jayachandran and Christophe Sung, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Ben Snider Goldman Sachs & Co. LLC, Ryan Hammond Goldman Sachs & Co. LLC, Daniel Chavez Goldman Sachs & Co. LLC, Kartik Jayachandran Goldman Sachs & Co. LLC, Christophe Sung Goldman Sachs & Co. LLC.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

Disclosures

Basket disclosure
The ability to trade the basket(s) in this report will depend upon market conditions, including liquidity and borrow constraints at the time of trade.

Marquee disclosure
Marquee is a product of Goldman Sachs FICC and Equities. Any Marquee content linked in this report is not necessarily representative of GS Research views. If you need access to Marquee, please contact your GS salesperson or email the Marquee team at gs-marquee-sales@gs.com.

Regulatory disclosures

Disclosures required by United States laws and regulations
See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; registered market maker. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States
The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: https://www.goldmansachs.com/worldwide/india/research-analyst. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment

recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, make a market or act as liquidity provider in, and buy or sell, any securities, derivatives, or other financial instruments referred to in this research (including any financial instruments issued by the companies referred to herein), unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is focused on investment themes across markets, industries and sectors. It does not attempt to distinguish between the prospects or performance of, or provide analysis of, individual companies within any industry or sector we describe.

Any trading recommendation in this research relating to an equity or credit security or securities within an industry or sector is reflective of the investment theme being discussed and is not a recommendation of any such security in isolation.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.